that suboptimal value. Activist investors seek these unhappy families—"unwonderful" companies that do not possess all of the attributes of Buffett's wonderful companies—where the opportunity exists to improve the intrinsic value by remedying the deficiency, moving the company's intrinsic value closer to its full "wonderful company" potential, and eliminating the market price discount in the process. Carl Icahn has described this as an arbitrage, comparable to the arbitrage he undertook as an options trader:[2]

> *What I do today still is pretty much the same idea. You buy stocks in a company that is cheap and you look at the asset value of the companies that you buy the stocks in and it becomes a little more complex. Basically, you look for the reason that they're really cheap and the major reason is often–and usually–very poor management. In a sense, it's like an arbitrage. You go in; you buy a lot of stock in a company; and you then try to make changes at the company.*

The research shows that the typical company targeted by activists has poor recent stock performance, a low valuation, a large cash holding, and few opportunities for growth. Brav et al. examined activist engagements over the period 2001 to 2005,[3] and found that the typical activist target was deeply undervalued, and generating more cash than comparable firms not targeted by activists. Though they generate relatively high cash flows, they tended to have relatively low payouts measured by both dividend yield and payout ratio, the amount of dividends paid out relative to the cash generated by the business. Thus they built up large amounts of cash on the balance sheet relative to the size of the other assets and of the business. Other researchers examining activist campaigns from 1994 to 2005 described the typical activist target in the same terms: A "a cash cow with poor growth prospects, possibly suffering from the agency costs of free cash flow,"[4] Michael Jensen's theory that free cash flow creates a conflict of interest between shareholders and management over payout policies. Jensen posited that management prefers to reinvest cash to grow assets, even when the reinvested capital is likely to earn returns below the company's cost, or waste it on "organization[al] inefficiencies," while shareholders prefer that the cash be disgorged to them.[5] This problem plagued the textile industry in the 1960s and induced Warren Buffett to target the then cigar butt Berkshire Hathaway. It was also endemic in the oil and gas industry in the 1980s, leading to T. Boone Pickens' attempts to restructure Gulf Oil and others, and Carl Icahn had the same complaints about the biotechnology industry in the early 2000s. Two valuation metrics well-suited to identify the characteristics that typically attract activists—deep undervaluation, large cash holdings,